Session 3: Jobs, Trade and Fiscal Policy

Background: The field of economics is divided on whether AI will deliver broad-based labor market gains or concentrate economic power among capital owners. This debate unfolds against the backdrop of a long-term decline in labor's share of income. Some general-purpose technologies, such as electricity, have generated widely distributed benefits across the economy. Historical examples of skill-biased technological change, including manufacturing automation, have displaced some workers while increasing returns to particular skills and occupations. Globally, AI will reshape comparative advantage and patterns of international trade, which may intensify domestic patterns of inequality and labor market transformation.

Lead Speakers:

Anton Korinek, Anthropic Institute; Professor of Economics, University of Virginia (on leave)

Jason Furman, Aetna Professor of the Practice of Economic Policy, Harvard University; former Chairman of the Council of Economic Advisers

Pol Antràs, Robert G. Ory Professor of Economics, Harvard University

Focus: The conversation will center around the following questions[1]:
(1) What are the greatest risks AI poses to labor markets, and how can governments facilitate the transition?
(2) How is AI reshaping international trade patterns? What should economies expect in the medium term?
(3) What role should fiscal policy play in capturing and distributing the benefits of AI?

- Should governments intervene at the outset (competition policy, worker protection, education and training) or redistribute earnings afterwards (taxation, enhancements to the social safety net)?

Outcomes: (1) An assessment of how AI could alter comparative advantage and the geography of production. (2) A framework for evaluating the appropriate mix and sequencing of policies to address AI-related distributional effects, including the trade-offs between ex ante interventions and ex post redistribution measures.

[1] The questions below are illustrative and intended to help speakers and participants frame the discussion; they are not exhaustive.